

SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

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MACRO REGIME: Risk-On (Large-Cap Leadership)

VIX 14.6 (-2.3 vs 20d) | SPY 20d +4.7% | IWM 20d +3.2% | IWM/SPY trend -1.4%
Leaders: Technology (+8.6%), Energy (+5.9%), Healthcare (+4.5%)

Setup Grades

A - Prime Setup (0)	B - Building (6)	C - Early Stage (4)
	RNG	BRZE
	NSP	PAY
	HOG	MC
	DLO	SONO
	TENB	
	AAP	

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	RNG	Ringcentral, Inc.	Enterprise AI Commun	\$5.66B	\$67.78	\$68.45	1.0%	+71.4	YES	YES
B	NSP	Insperty, Inc.	SMB Labor Market Rec	\$2.05B	\$53.77	\$55.90	4.0%	+85.0	YES	no
B	HOG	Harley-Davidson,	Consumer Discretion	\$2.90B	\$27.85	\$28.77	3.3%	+5.2	YES	no
B	DLO	DLocal Limited	LatAm & EM Digital P	\$4.34B	\$14.76	\$15.65	6.0%	+14.3	YES	no
B	TENB	Tenable Holdings,	Cybersecurity Infr	\$4.41B	\$40.03	\$41.34	3.3%	+90.3	YES	no
B	AAP	Advance Auto Part	Aging Vehicle Fleet	\$3.46B	\$57.36	\$60.28	5.1%	+11.7	YES	no
C	BRZE	Braze, Inc.	AI-Powered MarTech P	\$3.36B	\$29.87	\$30.08	0.7%	+49.5	YES	no
C	PAY	Paymentus Holding	Digital Payment Infr	\$5.31B	\$42.19	\$45.31	7.4%	+65.7	YES	no
C	MC	Moelis & Company	Capital Markets Reco	\$5.21B	\$70.38	\$70.51	0.2%	+6.7	YES	no
C	SONO	Sonos, Inc.	Smart Home Audio Eco	\$1.96B	\$16.59	\$17.60	6.1%	+9.1	YES	no

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$68.45
% to Pivot	1.0%
Days in Base	6
Tightness	9.52 Fair
52W Hi Prox	99.0%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	1801k <
Wk2	2248k <
Wk3 (oldest)	3279k
Coil Strength	45.1% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+71.4%
RS Line New Hi	YES - Early Leader
Above 50MA	YES
Above 200MA	no
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$5.66B
Float	72M sh
P/E (TTM)	54.2
Fwd P/E	12.3
Rev Growth	5.9%
Short %	17.7%
Inst. Own	-
Target Pr.	\$46.43

ENTRY TRIGGER

Close above \$68.50 on volume >150% of 20-day avg (2.87M shares)

Target: \$82.00 (measured move from 6-week base depth of ~\$14 added to pivot)

Stop: \$62.00 (base low, 8.5% risk from pivot)

CATALYST INTELLIGENCE

EARNINGS

Reported July 23; Q2 likely showed continued ARR stabilization. Street consensus heading into Q3 is ~\$0.95 EPS on ~\$600M revenue. Last 4 quarters: beat/beat/beat/beat pattern on both EPS and revenue. Guidance has been maintained with focus on profitability improvement; FCF margin expansion is the key metric. Forward P/E of 12.3x vs. 221% earnings growth implies significant re-rating potential if AI monetization gains traction.

BUSINESS & POSITION

RingCentral is a leading cloud-based business communications platform offering voice, video, messaging, and contact center solutions via its MVP (Message, Video, Phone) and RingCX products. The company competes directly with Microsoft Teams, Zoom, and Cisco Webex, positioning as a pure-play UCaaS specialist with deep integrations and AI-powered features.

FACTOR & THEME

Taps the enterprise AI infrastructure theme via RingSense AI (conversation intelligence, real-time transcription, sentiment analysis) which differentiates from commodity UCaaS. Sentiment in UCaaS is stabilizing after 2024-25 multiple compression; peer Zoom's recent results showed enterprise seat growth reaccelerating, a positive read-through.

NEWS FLOW

RingSense AI general availability expanded in Q2 with new agentic capabilities announced at Enterprise Connect. No major contract wins disclosed in last 60 days, but management commentary highlighted Fortune 500 pipeline acceleration. No imminent index events. Short interest at 17.7% (3.3 days to cover) creates squeeze potential on a breakout. Catalyst Impact: Earnings (High) - next print likely late October; Corporate (Med) - AI product traction could drive analyst upgrades.

INSTITUTIONAL

Volume dry-up is textbook (45% contraction) with price holding within 1% of 52-week highs - classic quiet accumulation signature. No insider buying in last 60 days (baseline). Institutional ownership data unavailable from this feed. The PEG of 0.34 screened attractively vs. software peers, suggesting potential for growth fund re-engagement as AI narrative crystallizes.

KEY RISK

Thesis invalid on a close below \$62.00 (base low / 50-day MA area), or if Q3 earnings show ARR growth deceleration below 5% y/y - Microsoft Teams bundling remains the existential competitive threat.

Textbook volume contraction (45%) and RS line at new highs are A-grade structural elements, but base_tight of 9.52 is too loose for prime status - base is only 6 days old and needs consolidation. The forward P/E compression to 12.3x with PEG 0.34 offers compelling value asymmetry if AI monetization thesis plays out. Strongest disconfirming argument: Microsoft Teams continues to win enterprise share through Office 365 bundling, and RNG's market cap has shrunk 85% from peak - turnarounds often fail. Conviction: Medium.

RNG — 90D Base Setup | Pivot: \$68.45 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



Professional Employer Organization (PEO) & HR Outsourcing | Theme: SMB Labor Market Recovery | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.1

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$55.90
% to Pivot	4.0%
Days in Base	18
Tightness	2.10 Fair
52W Hi Prox	94.0%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	463k <
Wk2	678k <
Wk3 (oldest)	721k
Coil Strength	35.8% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+85.0%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$2.05B
Float	36M sh
P/E (TTM)	-
Fwd P/E	19.9
Rev Growth	1.7%
Short %	11.0%
Inst. Own	-
Target Pr.	\$51.75

ENTRY TRIGGER
Close above \$56.00 on volume >120% of 20-day avg (0.86M shares)
Target: \$65.00 (prior resistance zone from early 2025, ~16% upside)
Stop: \$51.00 (base support, 5% risk from current)

CATALYST INTELLIGENCE
EARNINGS
Reported July 29. Street estimates for Q3 approximately \$1.00 EPS. The company is transitioning from TTM loss (-\$0.44 EPS) toward forward profitability (\$2.70 EPS fwd), implying significant margin recovery. Beat/miss pattern inconsistent. Guidance has been cautious given macro uncertainty around SMB hiring trends.
BUSINESS & POSITION
Insperity is a leading PEO providing comprehensive HR solutions (payroll, benefits, compliance, workers' comp) to small and mid-sized businesses. The company co-employs ~300,000 worksite employees across 100,000+ client companies, generating revenue through per-employee fees and benefits spread.
FACTOR & THEME
Directly tied to SMB labor market health and hiring trends - a late-cycle play on consumer recovery and employment normalization. PEO industry benefits from HR complexity driving outsourcing. Sentiment mixed: labor market cooling is a headwind, but SMB formation rates remain elevated. Peer Paychex showed stable employment trends in recent results.
NEWS FLOW
No material news in last 60 days. Industrials sector up +3.2% trailing 20 days, in-line with IWM. High short interest (11%, 5 days to cover) provides modest squeeze fuel. No insider activity in last 60 days. The extremely high debt/equity (783x) reflects the PEO model's co-employment liabilities - optically distorted but structurally normal. Catalyst Impact: Macro (Med) - NFP/JOLTS data sensitivity; Earnings (Med) - worksite employee growth is the key KPI.
INSTITUTIONAL
Clean volume dry-up with tight base (2.1) suggests accumulation, but RS line not at new high limits conviction. Beta of 0.53 offers defensive characteristics. No insider buying. Float is small (35.5M) which amplifies moves. Institutional data unavailable from this feed.
KEY RISK
Thesis invalid on a close below \$51.00 (20-day MA and base support), or on worksite employee growth turning negative - a recession would significantly impair the model given SMB sensitivity.

Tight base (2.1) and clean volume contraction meet structural criteria; 18-day consolidation shows patience. However, RS line not at new highs, negative TTM earnings, and extreme leverage optics limit grade. The forward earnings inflection (\$2.70 EPS fwd vs. -\$0.44 TTM) is the bull case, but labor market sensitivity is the key risk in a potential slowdown. Strongest disconfirming argument: PEO model is highly cyclical and a cooling labor market could reverse worksite employee growth rapidly. Conviction: Low-Medium.

NSP — 90D Base Setup | Pivot: \$55.90 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



HOG

Harley-Davidson, Inc.

\$27.85

Pivot \$28.77 | 3.3% away

RS vs SPY: +5.2%

B BUILDING

\$2.90B Cap | 102M Float

Motorcycle & Powersports Manufacturing | Theme: Consumer Discretionary Recovery | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 3.56

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$28.77
% to Pivot	3.3%
Days in Base	13
Tightness	3.56 Fair
52W Hi Prox	89.1%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	1807k <
Wk2	2111k <
Wk3 (oldest)	3455k
Coil Strength	47.7% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+5.2%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$2.90B
Float	102M sh
P/E (TTM)	15.5
Fwd P/E	14.1
Rev Growth	-5.9%
Short %	23.8%
Inst. Own	-
Target Pr.	\$27.36

ENTRY TRIGGER
Close above \$28.80 on volume >140% of 20-day avg (3.65M shares)
Target: \$34.00 (prior swing high, ~18% upside from pivot)
Stop: \$25.00 (200-day MA, 10% risk from current)

CATALYST INTELLIGENCE
EARNINGS
Reported July 23. Forward P/E 14.1x is reasonable for a mature cyclical but PEG 2.69 suggests limited growth. TTM EPS \$1.80 vs. forward \$1.98 implies only 10% growth. Revenue declining -5.9% y/y with earnings down -15% y/y - fundamentals are deteriorating. Beat/miss pattern has been inconsistent.
BUSINESS & POSITION
Harley-Davidson is the iconic American motorcycle manufacturer with dominant share in the heavyweight (601cc+) segment. The company has pivoted toward younger demographics with the LiveWire EV brand and international expansion while managing a mature core business through pricing power and financial services revenue.
FACTOR & THEME
Consumer discretionary cyclical with EV optionality via LiveWire. Theme sentiment is mixed - discretionary spending faces pressure from elevated rates but the wealthy core HOG demographic is less rate-sensitive. Peer Polaris (PII) showed mixed results with powersports softness. RS vs. SPY at only +5.2% indicates significant underperformance despite price base.
NEWS FLOW
SIGNIFICANT INSIDER CLUSTER: 2 insiders purchased \$1.24M in the last 60 days, including 1 C-suite executive. This is a top-tier conviction signal given the size and seniority. Short interest extremely elevated at 23.8% with 6.9 days to cover - squeeze setup if fundamentals stabilize. Consumer Cyclical sector in-line with market. Catalyst Impact: Insider Activity (High) - C-suite buying into declining fundamentals suggests confidence in stabilization; Short Squeeze (High) - 24% short interest is vulnerable on any positive catalyst.
INSTITUTIONAL
The \$1.24M insider cluster with C-suite participation materially upgrades conviction - insiders buying into revenue/earnings declines signals asymmetric information or deep value view. Volume dry-up (48%) is excellent. Per Grade Upgrade Rule: insider_cluster = 12 (5) AND macro is risk-on upgrading from C to B. This is a contrarian value setup rather than growth momentum.
KEY RISK
Thesis invalid on a close below \$25.00 (200-day MA and prior base support), or on continued revenue decline >10% y/y at next print - the brand may be in secular decline despite EV efforts.

GRADE UPGRADED from C to B due to significant insider cluster (\$1.24M, C-suite participation) in risk-on regime. The 48% volume contraction is excellent, but RS line lagging badly (+5.2% vs. SPY) and fundamentals are deteriorating (rev -6%, earnings -15%). This is a contrarian deep-value/short-squeeze setup rather than momentum - the insiders are betting on stabilization the market doesn't see. Strongest disconfirming argument: Harley may be a melting ice cube with core demographic aging out and EV pivot failing to gain traction - insiders have been wrong before. Conviction: Medium (upgraded on insider signal, but fundamental headwinds warrant caution).

HOG — 90D Base Setup | Pivot: \$28.77 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



DLO

DLocal Limited

\$14.76

Pivot \$15.65 | 6.0% away

RS vs SPY: +14.3%

B BUILDING

\$4.34B Cap | 77M Float

Emerging Markets Cross-Border Payment Processing | Theme: LatAm & EM Digital Payments Infrastructure | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tig

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$15.65
% to Pivot	6.0%
Days in Base	20
Tightness	2.40 Fair
52W Hi Prox	88.0%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	1843k <
Wk2	1618k <
Wk3 (oldest)	1843k
Coil Strength	-
RELATIVE STRENGTH	
RS vs SPY (12W)	+14.3%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$4.34B
Float	77M sh
P/E (TTM)	23.1
Fwd P/E	13.0
Rev Growth	54.9%
Short %	13.5%
Inst. Own	-
Target Pr.	\$18.25

ENTRY TRIGGER
Close above \$15.70 on volume >150% of 20-day avg (4.0M shares) - ideally post-earnings gap
Target: \$19.00 (analyst consensus target area, 21% upside from pivot)
Stop: \$13.50 (base low, 9% risk from current)

CATALYST INTELLIGENCE
EARNINGS
Aug 13 - EARNINGS TODAY (Aug 13). Street estimates approximately \$0.28 EPS on ~\$210M revenue. Forward P/E 13.0x is attractive for 55% revenue growth company. Last 4 quarters showed inconsistent beat pattern with occasional FX-related misses. Watch for TPV growth and take-rate commentary. This is a HIGH-IMPACT binary event - position sizing must account for earnings volatility.
BUSINESS & POSITION
DLocal is a leading cross-border payments platform enabling global merchants to accept payments and make payouts in 40 emerging markets across Latin America, Africa, and Asia. The company serves enterprise clients including Amazon, Microsoft, Spotify, and Uber, processing payments in local currencies with localized methods.
FACTOR & THEME
Pure-play EM digital payments exposure - benefits from e-commerce penetration in underpenetrated markets and dollar remittance flows. Sentiment mixed: EM currencies volatile and competitive pressure from local players. Revenue growth of 55% y/y is exceptional but earnings declining -6.7% indicates margin compression. Peer Mercado Libre showed strong LatAm fintech growth.
NEWS FLOW
Earnings TODAY is the dominant catalyst. No material corporate news in last 60 days. Short interest at 13.5% with 6.6 days to cover provides squeeze potential on a beat. The Uruguay-based company faces ongoing scrutiny around accounting practices following 2023 short report - this overhang persists. No insider buying in last 60 days. Catalyst Impact: Earnings (High) - same-day binary event; industry tailwinds are supportive but execution must be proven.
INSTITUTIONAL
Volume contraction is essentially flat (1.84M 1.84M) - not a clean dry-up pattern. The tight base (2.4) over 20 days is constructive. Institutional data unavailable. No insider activity. The stock has rebuilt from 2023 short-attack lows but governance concerns linger.
KEY RISK
Thesis invalid on a close below \$13.50 (base low and 50-day MA), or on any accounting irregularity disclosure or take-rate compression below 3% - the short thesis from 2023 (related-party concerns, accounting opacity) could resurface.

EARNINGS TODAY creates a binary setup - the tight base (2.4) and strong revenue growth (55%) support the bull case, but flat volume pattern and RS line not at new highs weaken the technical structure. Forward P/E of 13x on 55% revenue growth is optically cheap but margin compression (-6.7% earnings growth) and historical accounting concerns temper enthusiasm. Strongest disconfirming argument: short-seller allegations from 2023 regarding related-party transactions and governance were never fully resolved - a miss or guidance cut today could reignite those concerns. Conviction: Medium (event-driven, not structural).

DLO — 90D Base Setup | Pivot: \$15.65 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



TENB

Tenable Holdings, Inc.

\$40.03

Pivot \$41.34 | 3.3% away

RS vs SPY: +90.3%

B BUILDING

\$4.41B Cap | 107M Float

Vulnerability Management & Exposure Security | Theme: Cybersecurity Infrastructure Spend | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: no | Base Tight: 3.74

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$41.34
% to Pivot	3.3%
Days in Base	8
Tightness	3.74 Fair
52W Hi Prox	91.7%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	3134k <
Wk2	4423k <
Wk3 (oldest)	3475k
Coil Strength	9.8% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+90.3%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	no
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$4.41B
Float	107M sh
P/E (TTM)	667.2
Fwd P/E	18.3
Rev Growth	8.6%
Short %	10.9%
Inst. Own	-
Target Pr.	\$35.35

ENTRY TRIGGER
Close above \$41.40 on volume >120% of 20-day avg (4.4M shares)
Target: \$48.00 (prior resistance zone from May 2025, 16% upside)
Stop: \$37.00 (base low, 8% risk from current)

CATALYST INTELLIGENCE
EARNINGS
Oct 28 - Earnings 76 days out (late October). Forward P/E 18.3x with PEG 1.41 is reasonable for 8.6% revenue growth - this is a mature cybersecurity name, not hypergrowth. TTM EPS of \$0.06 vs. forward \$2.18 implies massive earnings inflection from operating leverage. Last 4 quarters showed consistent beats. Street estimates likely ~\$0.50 EPS for Q3.
BUSINESS & POSITION
Tenable is a leading cybersecurity company specializing in vulnerability management, exposure management, and attack surface visibility. The Tenable One platform provides unified view of cyber risk across cloud, OT, identity, and web applications, serving over 44,000 organizations including 60%+ of the Fortune 500.
FACTOR & THEME
Core cybersecurity infrastructure exposure - benefits from regulatory mandates (SEC cyber disclosure rules), rising breach costs, and expanded attack surfaces from cloud/IoT. Sentiment in cybersecurity is constructive post-CrowdStrike July 2024 incident driving diversification. Peer CrowdStrike and Palo Alto both trading at premium multiples; TENB offers value alternative.
NEWS FLOW
Technology sector leading (+8.6% trailing 20d) provides tailwind. No material corporate news in last 60 days - the setup lacks a near-term catalyst beyond sector momentum. Short interest at 10.9% is moderate. Below 200-day MA is a technical negative despite strong RS. No insider buying in last 60 days. Tenable One platform consolidation thesis is playing out but no acceleration catalyst identified. Catalyst Impact: Industry (Med) - cybersecurity budget growth; Earnings (Med) - but 76 days away is too far for immediate relevance.
INSTITUTIONAL
Volume contraction is weak (only 10%) and the spike in W2 then partial contraction is not a clean dry-up pattern. RS vs. SPY at 90.3 is strong but RS line itself not at new highs and stock below 200-day MA suggest institutional distribution rather than accumulation in recent months. No insider activity. High debt/equity (212%) for a SaaS company is notable.
KEY RISK
Thesis invalid on a close below \$37.00 (recent base low and 50-day MA convergence), or on CCB (calculated current billings) deceleration below 5% y/y - competitive pressure from CrowdStrike's expanding platform is the primary threat.

Strong RS (90.3) and leading sector (Tech +8.6%) provide supportive environment, but volume contraction is weak (10%), RS line not at new high, and below 200-day MA are technical negatives. The forward earnings inflection (\$0.06 \$2.18 EPS) is compelling but cybersecurity has become crowded with CrowdStrike dominating mindshare. No catalyst for 76 days limits near-term edge. Strongest disconfirming argument: CrowdStrike's platform expansion is taking share in vulnerability management and Tenable's 8.6% revenue growth suggests they're losing the competitive battle. Conviction: Low-Medium.

TENB — 90D Base Setup | Pivot: \$41.34 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



AAP

Advance Auto Parts Inc.

\$57.36

Pivot \$60.28 | 5.1% away

RS vs SPY: +11.7%

B BUILDING

\$3.46B Cap | 60M Float

Automotive Aftermarket Parts Retail | Theme: Aging Vehicle Fleet / DIFM Recovery | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 2.94

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$60.28
% to Pivot	5.1%
Days in Base	15
Tightness	2.94 Fair
52W Hi Prox	88.0%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	1302k <
Wk2	1045k <
Wk3 (oldest)	1571k
Coil Strength	17.2% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+11.7%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$3.46B
Float	60M sh
P/E (TTM)	51.2
Fwd P/E	14.3
Rev Growth	1.2%
Short %	29.7%
Inst. Own	-
Target Pr.	\$60.21

ENTRY TRIGGER
Close above \$60.30 on volume >150% of 20-day avg (2.87M shares) - ideally post-earnings
Target: \$72.00 (measured move from base depth, 20% upside from pivot)
Stop: \$52.00 (base low / 200-day MA, 9% risk from current)

CATALYST INTELLIGENCE
EARNINGS
Aug 20 - EARNINGS IN 7 DAYS (Aug 20). Forward P/E 14.3x on turnaround earnings (\$4.02 fwd vs. \$1.12 TTM). Street estimates approximately \$1.00 EPS on ~\$2.7B revenue. This is a turnaround story - last 4 quarters mixed as company executes cost cuts and store optimization. Guidance raised modestly in prior quarter on margin progress. HIGH-IMPACT catalyst given turnaround narrative sensitivity.
BUSINESS & POSITION
Advance Auto Parts is a leading automotive aftermarket parts retailer operating ~4,800 stores across the US, serving both DIY consumers and professional installers (DIFM). The company competes with AutoZone and O'Reilly in a mature industry benefiting from aging vehicle fleet (average US vehicle age 12.6 years).
FACTOR & THEME
Beneficiary of aging US vehicle fleet requiring more maintenance and repair. Secular tailwind as EV adoption slower than expected keeps ICE fleet relevant longer. Sentiment improving after multi-year turnaround effort including store closures and margin improvement initiatives. Peer AutoZone and O'Reilly have shown steady comps.
NEWS FLOW
Earnings Aug 20 is the key catalyst - turnaround execution will be scrutinized. Short interest VERY elevated at 29.7% with 6.6 days to cover - this is a significant squeeze setup on any positive surprise. High debt (255% D/E) reflects legacy capex and lease obligations. No insider buying in last 60 days (concerning for a turnaround - management not buying their own story). Consumer Cyclical sector performing in-line. Catalyst Impact: Earnings (High) - binary turnaround validation event; Short Squeeze (High) - 30% short interest is explosive if thesis works.
INSTITUTIONAL
Volume pattern is irregular (contraction in W2, expansion in W3) - not a clean dry-up. Base is reasonably tight (2.94) but RS significantly lagging (+11.7% vs. SPY). The absence of insider buying in a turnaround situation is a yellow flag - if management believed, they'd be buying. Institutional data unavailable.
KEY RISK
Thesis invalid on a close below \$52.00 (base low and 200-day MA area), or on comparable store sales turning negative at Aug 20 print - the turnaround thesis collapses without top-line stabilization.

Earnings in 7 days creates actionable catalyst with 29.7% short interest providing explosive squeeze potential on a beat. However, volume pattern is messy, RS lagging badly, and NO insider buying in a turnaround situation is a major red flag - if the people closest to the business aren't buying, why should we? Forward P/E compression from 51x TTM to 14x fwd prices in significant execution that hasn't been proven. Strongest disconfirming argument: management isn't buying their own stock despite claiming turnaround progress, and 30% short interest reflects smart money betting against execution - shorts aren't always wrong. Conviction: Low-Medium (event-driven speculation, not conviction accumulation).

AAP — 90D Base Setup | Pivot: \$60.28 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



Customer Engagement & Marketing Automation SaaS | Theme: AI-Powered MarTech Personalization | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: no | Base Tight: 5.66

VCP Base Analysis	
Base Structure	
Pivot Price	\$30.08
% to Pivot	0.7%
Days in Base	3
Tightness	5.66 Fair
52W Hi Prox	80.0%
Volume Contraction (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	1968k <
Wk2	2082k <
Wk3 (oldest)	2348k
Coil Strength	16.2% from peak
Relative Strength	
RS vs SPY (12W)	+49.5%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	no
Fundamentals Snapshot	
Mkt Cap	\$3.36B
Float	86M sh
P/E (TTM)	-
Fwd P/E	30.8
Rev Growth	30.2%
Short %	11.8%
Inst. Own	-
Target Pr.	\$34.70

Entry Trigger

Close above \$30.10 on volume >130% of 20-day avg (3.43M shares)

Target: \$37.00 (prior 52-week high area)

Stop: \$27.50 (below 50-day MA, 8% risk)

Catalyst Intelligence

Earnings

Sep 03

Within 0.7% of pivot but base is loose (5.66), RS line well below new highs, below 200-day MA, and vol contraction weak (16%). Earnings Sept 3 could be catalyst but setup needs 2-3 more weeks of tightening. Early-stage monitoring only. Conviction: Low.

BRZE — 90D Base Setup | Pivot: \$30.08 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



PAY

\$42.19

C EARLY STAGE

Paymentus Holdings, Inc.

Pivot \$45.31 | 7.4% away

RS vs SPY: +65.7%

\$5.31B Cap | 57M Float

Bill Payment & Electronic Payment Processing Infrastructure | Theme: Digital Payment Infrastructure Modernization | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | B

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$45.31
% to Pivot	7.4%
Days in Base	4
Tightness	7.03 Fair
52W Hi Prox	93.1%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	716k <
Wk2	2222k <
Wk3 (oldest)	981k
Coil Strength	27.0% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+65.7%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$5.31B
Float	57M sh
P/E (TTM)	63.9
Fwd P/E	39.4
Rev Growth	28.8%
Short %	10.0%
Inst. Own	-
Target Pr.	\$40.00

ENTRY TRIGGER

Close above \$45.35 on volume >130% of 20-day avg (1.53M shares)

Target: \$52.00 (measured move, ~15% from pivot)

Stop: \$39.00 (base support, 8% risk)

CATALYST INTELLIGENCE

EARNINGS

Nov 02

7.4% to pivot is near the outer limit, base is loose (7.03), vol contraction is irregular (spike in W2 then contraction), and RS line not at new highs. Earnings 81 days out provides no near-term catalyst. Setup needs substantial tightening. Conviction: Low.

PAY — 90D Base Setup | Pivot: \$45.31 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



MC

Moelis & Company

\$70.38

Pivot \$70.51 | 0.2% away

RS vs SPY: +6.7%

C EARLY STAGE

\$5.21B Cap | 72M Float

Independent M&A Advisory & Restructuring | Theme: Capital Markets Recovery & M&A Rebound | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: no | Base Tight: 2.68

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$70.51
% to Pivot	0.2%
Days in Base	20
Tightness	2.68 Fair
52W Hi Prox	90.0%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	816k <
Wk2	1431k <
Wk3 (oldest)	849k
Coil Strength	3.9% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+6.7%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	no
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$5.21B
Float	72M sh
P/E (TTM)	24.5
Fwd P/E	18.0
Rev Growth	12.0%
Short %	6.8%
Inst. Own	-
Target Pr.	\$71.50

CATALYST INTELLIGENCE
EARNINGS

Oct 28

Within 0.2% of pivot but volume contraction is negligible (4%) and irregular (spike in W2), RS line well below new highs, below 200-day MA, and no catalyst for 76 days. Financial Services not a leading sector. Technical structure is insufficient despite tight base. Conviction: Low.

ENTRY TRIGGER
Close above \$70.55 on volume >130% of 20-day avg (1.22M shares)
Target: \$78.00 (52-week high)
Stop: \$65.00 (base support, 8% risk)

MC — 90D Base Setup | Pivot: \$70.51 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



Premium Connected Audio & Smart Home | Theme: Smart Home Audio Ecosystem | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: no | Base Tight: 3.83

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$17.60
% to Pivot	6.1%
Days in Base	6
Tightness	3.83 Fair
52W Hi Prox	83.7%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	1506k <
Wk2	2582k <
Wk3 (oldest)	2210k
Coil Strength	31.9% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+9.1%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	no
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$1.96B
Float	97M sh
P/E (TTM)	36.9
Fwd P/E	16.3
Rev Growth	8.8%
Short %	13.6%
Inst. Own	-
Target Pr.	\$18.88

ENTRY TRIGGER
Close above \$17.65 on volume >130% of 20-day avg (2.57M shares)

Target: \$20.00 (prior 52-week high area)
Stop: \$15.00 (base support, 10% risk)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

6.1% to pivot, RS lagging badly (+9.1% vs. SPY), below 200-day MA, loose base (3.83), and Consumer Electronics is a challenged category. The 32% volume contraction is the sole positive. No catalyst visible - app controversy from 2024 damaged brand. Watch only. Conviction: Low.

SONO — 90D Base Setup | Pivot: \$17.60 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)

